

Spikes occur in volatility of asset-class returns on occasion and for many reasons. However, over time general asset-class return volatility remains relatively stable across the major asset classes.

Stable long-term volatilities allow an investor to develop a model that predicts future asset class returns *relative* to other asset classes using volatility differences. Investments that have higher volatility generally have higher expected returns, and investments that have lower volatility have lower expected returns. Accordingly, if you know the historical volatility of an investment, you can forecast its expected long-term return relative to all other asset classes. That being said, volatility itself is not a reason for higher expected returns. As we learned in [Chapter 10](#), commodities have had high historic price volatility and have not generated high long-term returns.

[Figure 11-3](#) illustrates the theoretical relationship between the known price volatility of several asset classes discussed in previous chapters, including the relationship of inflation to all investment returns. As the risk in an asset class increases, so does the expected return.

[Figure 11-3](#) is divided vertically into two investment categories. To the left are asset classes that are appropriate for working capital cash and emergency funds. These investments should be in low-risk, low expected return asset classes. To the right are high-risk and high expected return asset classes that are appropriate for a long-term investment allocation.

The exceptions to the high-volatility discussion are commodities and gold. Commodities have high price volatility but have not paid investors for that risk. In the long term, the present value of any investment is the discounted sum of all long-term cash flows. Commodities are not like stocks and bonds because they are not income-generating. Consequently, the present value of \$0 in cash flow is \$0. Commodities and gold are worth only what you will be able to sell them for in the future. Historically, this has been the inflation rate. See [Chapter 10](#) for more information on commodity risk and return.

FIGURE 11-3

Historic Market Volatility and Expected Return